

AXYS

QI

Quarterly Insights

April 2022

Growing Capital Sustainably

Inside This Issue

Macroeconomic Outlook - Global 1-4

Macroeconomic Outlook - Mauritius 5-9

Macroeconomic Outlook - Kenya 10-14

Market Insight 15-16

Portfolio Performance 17

Trade Ideas 18-19

AXIOM Funds 20-21
- AXIOM Africa Equity Fund 22-25
- AXIOM Sustainability Premia 26-27
- AXIOM Yield Fund 28-29
- Dynamic Global Equity 30-31
- AXIOM Equity Fund 32-33

Products Factsheest:
- Bullion Gold ETF 35
- US High Divident Low Vol Fund 36-37

Macroeconomic Outlook - Global

Macroeconomic Outlook - Global

Going into 2022, investors expected inflation to take centre stage as it was evident that the rising inflationary pressures were there to stay. For many analysts, inflation was set to peak at some point in 2022 as the supply chains normalised globally and the economic effects of the Covid 19 related fiscal stimulus dissipated. The Russian invasion of Ukraine took the world by surprise and heralded the return of geopolitical instability, the like of which was unimaginable in the modern era, at least till now. We now live in uncertain times and that uncertainty has clouded the global economic outlook. Worse, it has ignited price dynamics unseen since the 1970's.

Ukraine and Russia are major exporters of raw materials. For instance, Russian exports of palladium represent 46% of global production, those of gold represent 9.2% while for oil and gas, they represent 8.4% and 6.2% respectively. Similarly, Ukraine is the world's biggest producer of sunflower oil. As exports from Ukraine were reduced to a standstill and economic sanctions rained in on Russia, the price for most commodities spiked. Brent oil rose by 37% over Q1'22 to close at USD 104 per barrel. The price of gold tested its all-time high intra-quarter at USD 2,070 per ounce before settling at 1,937 per ounce (+5.9% QTD). The Bloomberg Commodity Index rose by 25.5% over Q1'22 – the biggest quarterly advance for the index since 1973 (49 years ago). This comes on top of a 27% gain in 2021 (biggest annual gain since 1979).

The meteoric rise in commodity prices led to a major repricing of sovereign yield curves around the world. In the United States, the Federal Reserve hiked interest rates by 25 bps in March to 0.5% - this was the first interest rate hike by the US central bank since the outbreak of the pandemic. The President of the Federal Reserve alluded that all upcoming policy meetings will be 'live' meetings – that is the central bank will be actively considering increasing interest rates at each of the meetings. The Federal Reserve also suggested that they would consider the necessity of a 50 basis points hike if they felt it was warranted. Headline inflation stood at 7.9% YoY in February while core inflation rose to 6.4% YoY. Fixed income traders took their cue from these very hawkish comments and data and priced in at least 8 interest rate hikes before the end of 2022. The yield on the US 2YR sovereign bond rose by an eye-catching 160bps to close at 2.33%. The yield curve flattened significantly in the United States over the quarter with the spread between the 2YR and 10YR yield falling to close to zero. Fixed income markets are fretting over the rising probability of a significant economic slowdown because of the rapid anticipated increase in the key interest rate.

Rising yields were also a feature for the rest of the world as rising inflation has morphed into a global phenomenon. In the United Kingdom, the Bank of England hiked key interest rates by 50 basis points to 0.75% while European monetary officials are still monitoring the situation. The fact that core inflation stood at 2.7% YoY in February could explain the European Central Bank's wait-and-see position. Interestingly, a flattening yield curve did not materialise in the rest of the developed world. Of note, the yield spread between peripheral European countries and Germany widened over the quarter. Since the European debt crisis peaks, yields between peripheral and core European states have been on a narrowing trend (the Great Convergence). This seems to have come to an end and will need to be monitored going forward. Overall, fixed income markets performed poorly over the quarter with the Bloomberg Global Aggregate Bond Index falling by 6.2%, its worst performance since 1980, some 42 years ago.

Equity markets also came under pressure as rising yields worried traders about the ability of companies to maintain their profitability levels. The MSCI All Country World Index fell by 5.4% over Q1'22 as both the United States and China performed poorly. The S&P 500 Index fell by 4.6% while the Shanghai Composite Index was down 10.7%. European stocks also performed poorly given their geographic and economic proximity with Ukraine. The Eurostoxx 50 retreated by 8.9%. Amid this gloomy outlook, value stocks proved to be an inspired haven. Since the Great Financial Crisis (GFC) of 2008, growth stocks have massively outperformed value stocks as a 'goldilocks' environment (low inflation and steady economic growth) prevailed. This state of affairs looks gone under current circumstances and an increasing number of financial analysts are suggesting that the world economy is going through a major paradigm shift. If we look at the relative performance of value versus growth over the last twenty or so years, we will see that value outperformed growth when the dot-com bubble exploded in the early 2000's [See Chart 1]. This trend continued for many years and

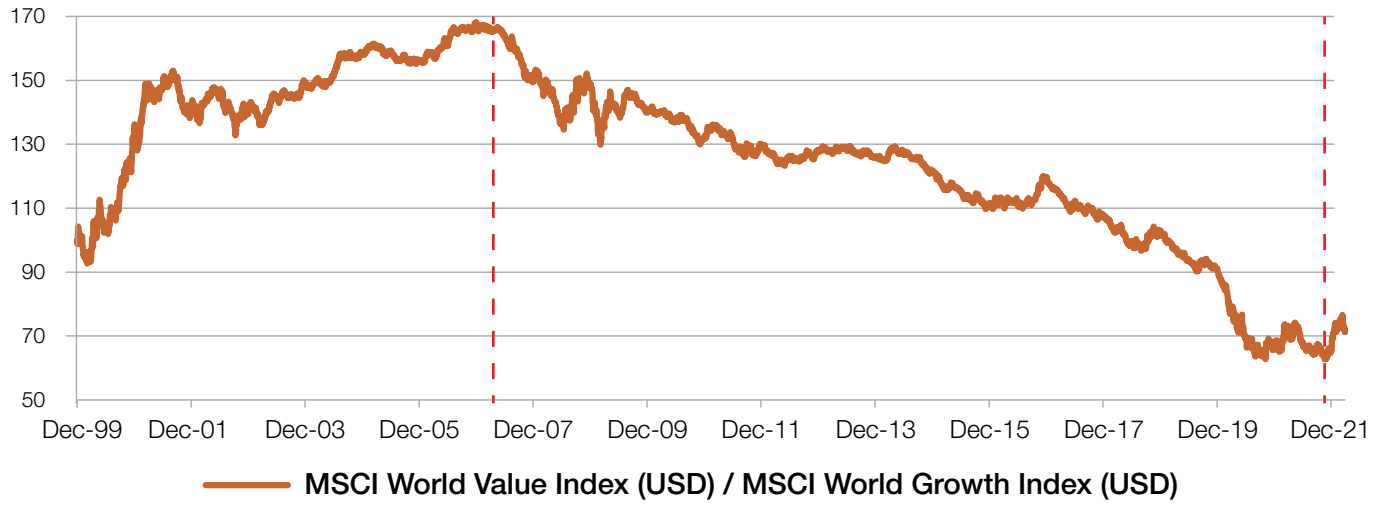
Macroeconomic Outlook - Global

only came to an end in 2006 with the financial meltdown in the developed world. An assessment of current economic and financial metrics suggest we could be on the verge of experiencing a repeat of the post dot.com bubble environment.

The outlook for the world economy faces many headwinds, none more so than the current geopolitical uncertainty. Growth expectations have been reviewed to the downside since war broke out in Ukraine with the growth forecast for Europe being cut most aggressively. The United States limited economic exposure to Russia/Ukraine gives it an advantage over Europe but it could still be affected by indirect effects. Wars always produce winners and losers and the current one will likely be no different. This creates an asymmetric environment whereby positioning will be very important for investment portfolios.

As most of the investing community, we believe that the world economy is in its cyclical late cycle, and we aim to align our investment philosophy accordingly. We favour high dividend quality stocks with a value bias over highly valued growth stocks. We are also keen on commodity-related economies with credible central banks since these should rein in investment flows as other central banks around the world try to get ahead of the curve. On the fixed income front, we retain our successful short duration strategy while also reducing corporate exposure. Indeed, we expect credit spreads to widen further over coming months and will seek such occurrences to opportunistically rebuild the corporate fixed income exposure. On the commodities side, we remain bullish on the sector. Gold remains an attractive investment in spite of rising nominal yields. It provides insurance against any escalation in geopolitical tensions while the expected surge in inflation will keep real yields deep in negative territory. Finally, we seek to increase our exposure to alternative investments as they do provide a critical uncorrelated source of returns in these uncertain times.

Chart 1 – Relative performance of MSCI World Value Index vs. MSCI World Growth Index (2000 – 2022)



Asset Class Performance

Equities (in local currency)	Value	Q1'22	6 Months	12 Months
MSCI ALL COUNTRY WORLD INDEX	368	-5.36%	-0.11%	7.28%
S&P 500	4,530	-4.60%	11.66%	15.63%
NASDAQ	14,221	-8.94%	8.23%	8.09%
DOW JONES INDUSTRIAL AVERAGE	34,678	-4.10%	6.29%	7.11%
EUROSTOXX 50	3,903	-8.86%	6.44%	2.10%
FTSE 100	7,516	2.89%	6.77%	16.05%
DAX	14,415	-9.25%	2.28%	-3.96%
CAC 40	6,660	-6.68%	10.34%	12.30%
SHANGHAI COMP	3,252	-10.65%	2.51%	-3.49%
JSE AFRICA ALSI	75,497	4.07%	14.22%	18.93%
SEMDEX	2,198	5.28%	14.56%	42.09%

Currencies*	Rate	Q1'22	6 Months	12 Months
EUR vs USD	1.11	-2.66%	-6.67%	-5.65%
GBP vs USD	1.31	-2.91%	-5.01%	-4.68%
JPY vs USD	122	-5.41%	-8.70%	-9.02%
AUD vs USD	0.75	3.02%	-0.21%	-1.53%
BRL vs USD	4.74	17.44%	4.72%	18.76%
ZAR vs USD	14.6	9.18%	-2.22%	1.15%
CNY vs USD	6.34	0.25%	1.85%	3.35%
MUR vs USD	45.0	-2.81%	-5.22%	-9.40%
MUR vs EUR	49.9	-0.35%	1.31%	-4.18%
MUR vs GBP	59.2	2.43%	1.15%	-3.99%
MUR vs ZAR	3.08	-12.35%	-3.19%	-11.53%

*A+1.00% change in A vs B means an appreciation of 1.00% of currency A versus currency B

Fixed Income	2Y (%)	Q1'22	10Y (%)	Q4'21
United States	2.33	1.60	2.34	0.83
Germany	-0.07	0.55	0.55	0.73
United Kingdom	1.35	0.67	1.61	0.64
Italy	0.28	0.35	2.04	0.87
France	-0.02	0.64	0.98	0.78
Australia	1.81	1.22	2.84	1.17
China	2.87	0.51	2.79	0.01
South Africa	4.98	-0.15	9.97	0.16
India	4.99	0.25	6.84	0.38
Mauritius	1.65	0.15	3.75	-0.50

Commodities (in US Dollars)	Value	Q1'22	6 Months	12 Months
Commodity Index	124.4	25.45%	31.59%	49.09%
Crude Oil WTI	107.9	38.74%	43.63%	69.83%
Brent Oil	100.3	33.33%	36.49%	69.51%
Gold (ounce)	1937	5.92%	9.45%	13.45%
Silver	24.8	6.37%	-5.10%	1.54%
Palladium	986	1.81%	-8.29%	-16.94%
Copper	475	6.44%	10.58%	18.91%
Iron Ore	946	38.23%	-31.54%	-19.46%
Wheat	1006	30.52%	49.81%	62.78%
Sugar	19.5	3.23%	10.55%	31.96%

Macroeconomic Outlook - Mauritius



Macroeconomic Outlook - Mauritius

The Mauritius economy is today facing its most stern challenge: that is to bounce back from one of its most severe recessions. The GDP growth for the year 2021 was at 4%. This growth still represents a contraction of -7% as compared to the GDP of 2019 which was at Rs 498.25bn. The 4% GDP growth looks even worse when you consider that the Rupee has depreciated by over 16% during the same period. To add to it, we are also facing other challenges like the Current Account Deficit (-15%), Budget Deficit (5%), and Debt to GDP ratio (100.6%), which will deteriorate further to 106.1% in the FY 2021/22 according to the World Bank. Thus, Mauritius is the 5th country with the highest Debt to GDP ratio in Africa. On the plus side, the tourism industry back in business will bring precious foreign currency to the country, together with its multiplier effect on the economy. The Ministry of Tourism has had several working sessions with the industry players and the promotion agencies. The recent decision by France to lift all travel restrictions with Mauritius and to open travel between Reunion and Mauritius can only augur well for the sector, given the importance of France and Reunion as source countries for tourists travelling to Mauritius. The country is officially forecast to welcome one million tourists for the calendar year 2022 although this could prove to be a tall order. The opening of our borders will also help the property sector as well as our construction industry.

MAURITIAN GDP EVOLUTION

Rolling 4 Quarters Basis

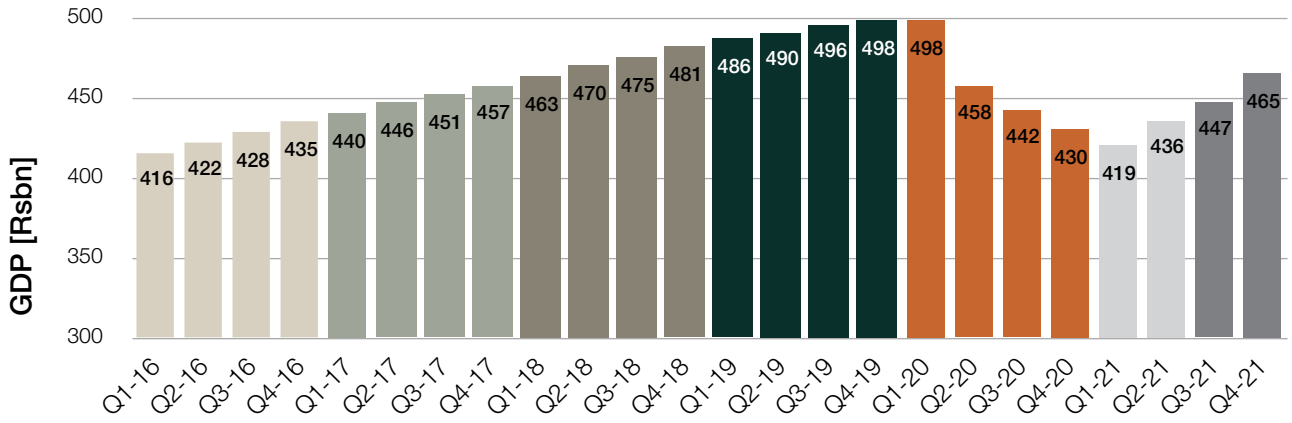
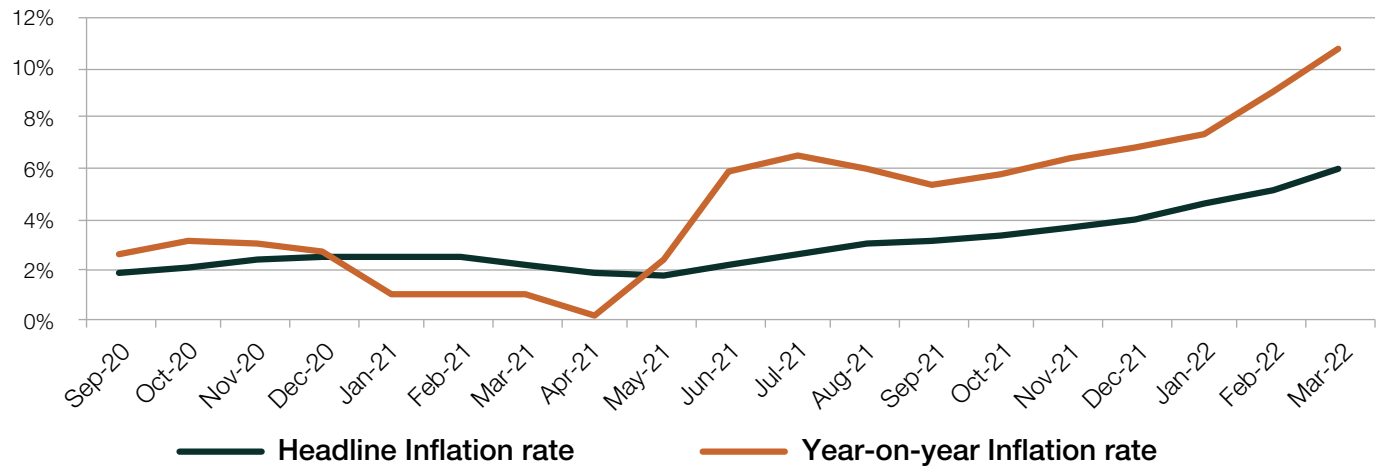


Figure 1. Evolution of Mauritian GDP on a rolling 12 month basis

Inflationary pressures are also having a major impact on the economy. According to the Statistics Office, year-on-year inflation worked out to 10.7% in March 2022, compared to 1.0% in March 2021. Headline inflation for the 12-months ending March 2022 worked out to 6.0%, compared to 2.2% for the 12-months ending March 2021. Last year the government introduced subsidies on several products to alleviate the agony of the population. These subsidies will be maintained till end of June. These have already cost the country Rs 1.2 bn and that is bound to increase with each passing day.

Macroeconomic Outlook - Mauritius

HEADLINE AND YEAR-ON-YEAR INFLATION RATE SEPTEMBER 2020 TO MARCH 2022



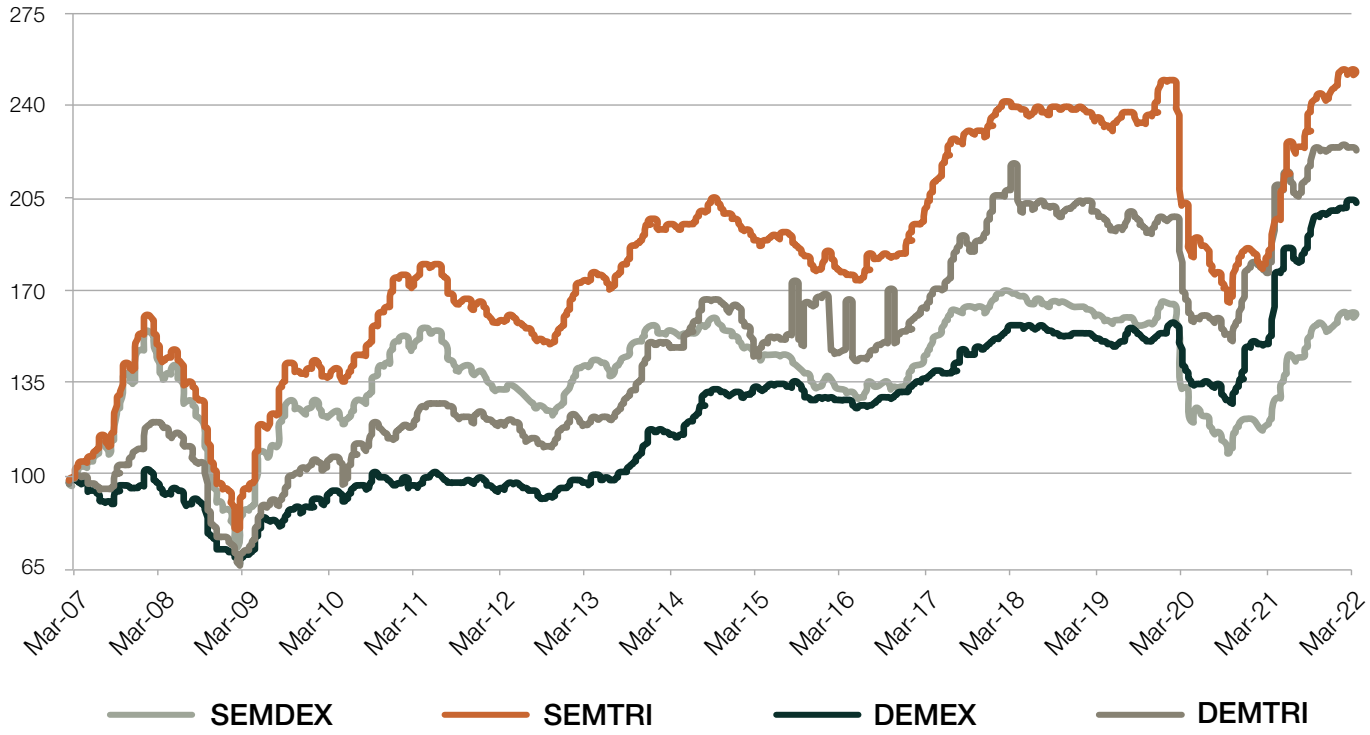
Source: Statistics Office Mauritius

During the quarter we saw a meagre increase in the repo rate of 15 bps by the Monetary Policy Committee (MPC) of the Bank of Mauritius, thus taking it to 2%. The MPC based this decision on the fact that "The domestic economic dashboard continues to show positive signals. Sectoral analysis shows that nearly all economic sectors, including the main pillars of the economy, have registered growth. The full opening of borders to international travel in October 2021 has helped support aggregate demand through strengthened consumer and business confidence."

This was followed by an increase in the rate of both short-term instruments issued by Bank of Mauritius. Both the 91 days and 182 days Government of Mauritius bills increase by 15bps during the quarter, while the 364 days Government of Mauritius bills increased by 13bps. As increases in interest rates are anticipated in many countries, including Mauritius, and with inflation picking up across the world, investors are looking out for higher returns, thus opting to lock their money in short-term papers for now, awaiting further pick-up in yields on medium and long-term papers. The last 5-year bond auction held on the 30th March 2022 saw an increase of 18 bps as compared to the previous one. Bid to cover remains above 2. Excess liquidity is estimated at around Rs 25 billion.

Macroeconomic Outlook - Mauritius

MARKET PERFORMANCE



At the close of 2021, many local observers hoped the normalization of travel and tourism would trigger the much needed 'booster' the Mauritian economy required. Europe - an important market for Mauritius has been relaxing restrictions on movement and social gathering. This combination has gathered sufficient momentum behind the hotel stocks on the SEM. LUX, NMH and SUN gained 28%, 18% and 16% respectively. According to the latest key tourism statistics, Mauritius witnessed the arrival of 158,818 tourists between January and March 2022. Although better than 2021, these KPIs are still far off levels achieved in 2019 and 2020 by 68.5% and 64.2% respectively.

Besides the hospitality sector, sugar conglomerates also performed well, driven by the combination of an increase in the price of sugar, depreciation of the Mauritian rupee as well as additional remuneration from the biomass framework. Another positive event was the return of dividends from Banking stocks. SBMH followed the lead of MCBG by announcing a dividend of MUR 0.2 per share for the financial year 2021. The group continued its business growth and profitability, and rebounded from the impairments of financial year 2020.

However, like most economies around the world, Mauritius will not be spared the spillover effects of the war in Ukraine. Strained supply chains, rising commodity prices and geopolitical uncertainty will affect the purchasing power of the average Mauritian consumer. The upcoming months will seemingly not be too joyful for import-based distributors who will continue to experience pressures on profit margins. However, we believe that Banking counters and Sugar conglomerates will remain strong in the next quarter as well. Property counters may follow the way with the full re-opening of borders. Hotel stocks however may remain quiet in spite of the depreciation of the Rupee and the full re-opening of borders as investors may realize that those groups are highly indebted and dividend distributions will probably be scarce in the next couple of years.

Quarterly Local Equity Performance

Equities (in local currency)	Value	Market Cap.	Q1'22	6 Months	12 Months
MCB Group	319.50	76,862	0.8%	2.7%	45.6%
SBM Hldg	4.95	12,780	15.9%	19.3%	41.4%
ABC Banking	17.75	1,354	4.4%	-8.0%	9.2%
CIM Fin Svcs	9.88	6,724	5.1%	7.2%	43.2%
Fincorp Inv	22.00	2,274	7.3%	4.8%	19.6%
MUA	142.00	7,263	3.6%	17.4%	46.9%
SWAN General	441.75	3,656	1.6%	19.2%	45.8%
Beachcomber Res	8.40	4,611	18.3%	35.5%	82.6%
LUX* Res	54.00	7,404	28.3%	20.0%	100.4%
Sun Res	22.00	3,837	15.8%	36.6%	50.2%
Lottotech	8.10	2,754	-1.2%	-10.0%	-2.4%
Alteo	33.15	10,558	4.2%	10.5%	61.3%
Terra	32.00	7,281	4.1%	22.6%	60.0%
Omnicane	19.90	1,334	15.4%	11.8%	43.2%
Medine	60.00	6,300	20.0%	23.7%	57.9%
IBL	54.50	37,072	2.8%	10.0%	22.5%
CIEL	6.92	11,672	12.3%	22.7%	53.8%
ENL	24.15	9,056	12.3%	27.1%	58.9%
Rogers & Co	28.10	7,082	2.9%	19.6%	39.8%
Gamma-Civic	42.60	5,676	-0.4%	0.2%	21.7%
Excelsior Utd Dev	16.50	2,004	-6.8%	12.5%	25.6%
Innodis	45.90	1,686	-10.0%	-9.1%	5.4%
Mtius Oil Ref	22.50	749	2.3%	9.8%	9.2%
Phoenix Bevs	602.00	9,901	-0.8%	-0.7%	0.8%
Livestock Feed	21.75	2,055	6.6%	7.4%	26.5%
Vivo Energy	250.00	7,331	2.9%	4.1%	10.3%
Ascencia	30.95	15,082	2.8%	5.6%	45.6%
Attitude Property	11.20	1,792	-5.9%	5.2%	6.7%
Caudan Dev	0.93	1,860	4.5%	0.0%	2.2%
Semaris	1.18	648	14.6%	25.5%	28.3%
Lavastone Prop	2.96	2,014	43.7%	45.8%	126.0%
Grit RE Inc Grp	0.46	3,962	-13.2%	-9.8%	-30.3%
Utd Basalt Prod	160.00	4,242	3.2%	6.5%	24.5%
Mtius Dev Inv Trust	2.95	1,249	-1.0%	-4.8%	34.1%
POLICY	4.94	1,121	-3.5%	-10.8%	35.0%
National Inv Trust	32.00	877	5.4%	10.8%	10.8%
Prom & Dev	104.50	4,072	5.0%	13.6%	43.2%

Macroeconomic Outlook - Kenya

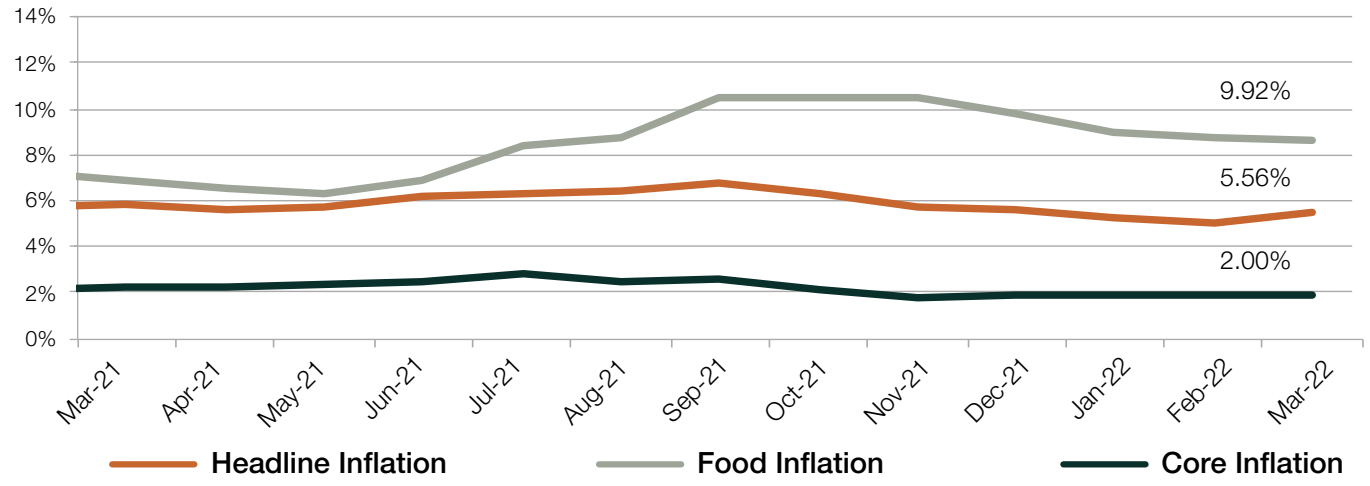


Macroeconomic Outlook - Kenya

Inflation Remains Elevated

Headline inflation during Q1'22 slowed to an average of 5.34% from 5.99% in Q4'2021 and 5.79% in Q1'2021. This was attributable to the reduction in electricity tariffs and stabilization of fuel prices, supported by the government's fuel subsidy programme. We expect inflation to remain within the government's target range of 2.5%—7.5%. However, rising global prices of crude oil will continue to exert pressure on the government subsidy program. Disrupted global supply chains and unfavorable weather conditions, which have negatively affected agricultural input ahead of the planting season, will likely contribute to rising inflation in the coming months.

KENYA'S INFLATION



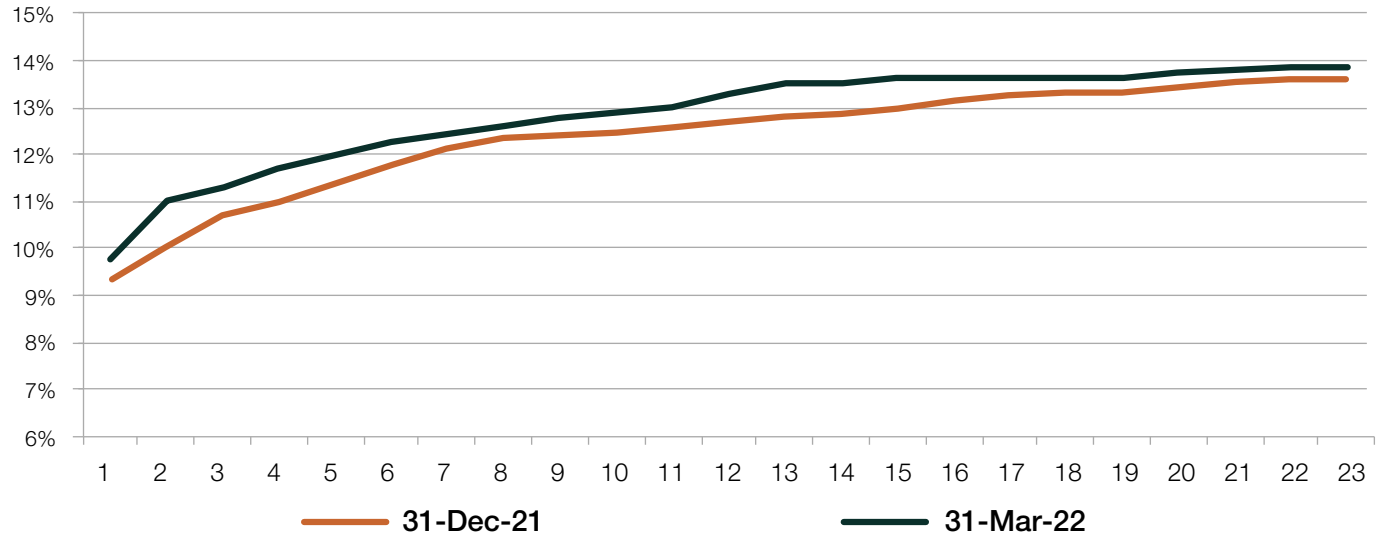
Economic growth remains challenged

The Monetary Policy Committee met on two occasions during the quarter, maintaining the Central Bank Rate (CBR) at 7.00%. The Committee signaled confidence in the projected, albeit challenged economic recovery. Global rating agency Fitch, downgraded Kenya's Long-term Foreign-Currency Issuer Default Rating (IDR) at B+ with a Negative Outlook as the nation's fiscal deficit continues to grow and the servicing of external debt becomes more challenging and costlier in the wake of the weakening shilling and anticipated deceleration in economic activity before the General Elections. The Stanbic Kenya PMI dropped to an average of 50.33 in Q1'2022 compared to 52.70% in Q4'2022, affirming slow growth in the private sector's outlook on the business environment. The PMI index closed the quarter at 50.50% from 47.6% in January.

Macroeconomic Outlook - Kenya

The yield curve on government securities steepened, more so in the longer end, during the period as investors sought higher returns in the face of increased uncertainty in the local and global economies. We anticipate further steepening of the yield curve in the longer term as investors demand higher risk-adjusted returns in the wake of current global crises; with the yield curve facing further pressure as the government's huge appetite for borrowing for infrastructure projects is expected to grow in the new fiscal year 2022/23.

NSE YIELD CURVE



Struggling Currency

The shilling depreciated against the US Dollar by 1.60% in Q1'2022 to close at KES 114.95 from KES 113.14 at the end of December 2021. This is attributable to the strengthening of the dollar as oil and commodity prices soared and foreign debt payments fell due; with dollar receipts from agricultural exports, tourism and remittances lagging during the period. Forex reserves dwindled by 11.08% to USD 7,840Mn (4.66 months of import cover) from USD 8,817Mn (5.39 months of import cover), remaining above the CBK's statutory requirement of 4 months of import cover.

We anticipate that the shilling will continue its losing streak against the dollar as global crude oil prices are likely to remain elevated on the back of depressed supply due to the Russia—Ukraine war and OPEC members' reluctance to increase supply. Payment of dividends by local companies to foreign investors in Q2'2022 is also expected to have an impact on dollar demand. Similarly, increased foreign debt payments by the government are likely to continue exerting pressure on forex reserves. However, the shilling will be likely supported by rising forex reserves after World Bank funding disbursement and increased diaspora remittances.

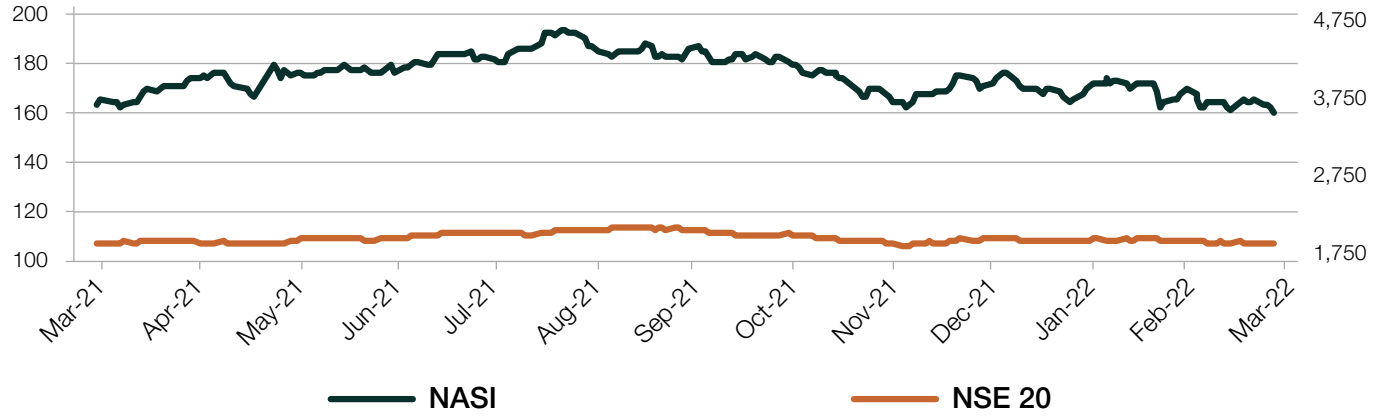
Macroeconomic Outlook - Kenya

Equities

Activity in Q1'2022 slumped in the equities market with the benchmark indices declining 2.93% and 6.44% for NSE 20 and NASI, respectively. Equity turnover declined by 23.51% to KES 27.77Bn from KES 36.30Bn in the preceding quarter. The bourse's market value declined by 6.46% to KES 2.45Tn from KES 2.59Tn in Q4'2021. This was attributed to an outflux of foreign investor participation in light of the Russia—Ukraine war. The biggest counters by market capitalization: SCOM, EQTY, KCB, EABL and COOP bank experienced the largest foreign participant sell-offs, dragging down activity and turnover at the bourse.

Q2'2022 will likely see further exits by foreign investors from their positions, as uncertainty about the end of the Russia—Ukraine conflict persists. SCOM is set to begin its much-awaited entry into the Ethiopian market early in Q2. Also, the telco will be releasing its FY results, in which a strong financial performance is anticipated. Most banking counters will be paying out dividends to shareholders during the quarter with anticipated share price rallies on some of the highest dividend yield counters.

NSE INDICES



Quarterly Kenyan Equity Performance

Equities (in local currency)	Value	Market Cap.(Mn)	Q1'22	6 Months	12 Months
ABSA Group	12.45	166	18.0%	25.5%	28.9%
Bamburi Cement	35.75	2,860	-4.7%	1.7%	-5.5%
British American Tobacco	496.25	248,125	10.0%	10.3%	37.5%
Bank of Kigali	29.95	839	7.0%	10.9%	46.1%
Britam Holdings	6.64	60	-17.8%	-8.3%	-8.5%
Carbacid Investments	11.50	92	-3.8%	-4.2%	-5.0%
CIC Insurance Group	2.16	6	-27.5%	0.0%	1.4%
Co-operative Bank	12.85	210	-3.7%	-6.9%	2.8%
Crown Paints	36.00	2,250	32.6%	-0.8%	-5.3%
Centum Investment	12.10	357	-31.3%	-30.5%	-24.6%
Diamond Trust Bank	59.00	6,431	-5.2%	-0.4%	-21.3%
East African Breweries	150.00	29,775	-12.2%	-17.0%	-2.8%
Equity Group	50.50	2,702	-0.5%	12.8%	38.2%
STANLIB FAHARI I-REIT	5.90	56	-12.7%	-3.9%	4.6%
HF Group	3.16	20	-18.3%	-18.3%	-4.8%
I&M Holdings	2.90	313	-87.3%	-86.7%	-93.6%
Jubilee Holdings	272.00	95,472	-22.3%	-22.4%	-4.2%
KCB Group	44.05	2,379	-5.8%	3.3%	15.6%
KenGen	3.60	21	-22.6%	-8.6%	-23.6%
Kenya Re Insurance	2.25	7	-10.0%	-8.9%	-3.0%
Kenya Power	1.31	4	-23.8%	-6.4%	-23.4%
Kakuzi	424.50	144,330	10.4%	4.8%	16.3%
Liberty Holdings	5.92	2,451	-27.1%	-31.6%	-23.1%
Longhorn Publishers	3.49	24	-12.8%	-17.3%	-28.5%
Nairobi Business Ventures	4.85	3	-29.1%	-52.5%	13.3%
NCBA Group	25.85	953	-0.6%	1.4%	-3.4%
Nation Media Group	20.00	796	-14.3%	-20.0%	29.4%
Nairobi Securities Exchange	7.82	97	-17.7%	-6.5%	-4.2%
Sasini	18.65	315	-6.8%	3.3%	-4.4%
Stanbic Holdings	103.00	11,253	12.0%	27.2%	21.2%
WPP Scangroup	4.00	69	-24.0%	-23.1%	-33.3%
Standard Chartered Bank	143.75	29,109	10.4%	10.8%	-0.3%
Safaricom	34.15	1,076	-18.9%	-17.6%	-0.3%
Standard Group	13.40	369	-23.0%	-23.0%	-40.4%
Sanlam	11.00	189	-4.3%	10.0%	-15.1%
Total Kenya	25.00	688	7.1%	0.0%	4.2%
TPS Eastern Africa	11.75	206	-23.5%	-16.1%	-26.6%
Umeme	7.10	59	1.4%	21.6%	-2.5%
Unga Group	28.35	964	-5.5%	2.0%	-10.8%

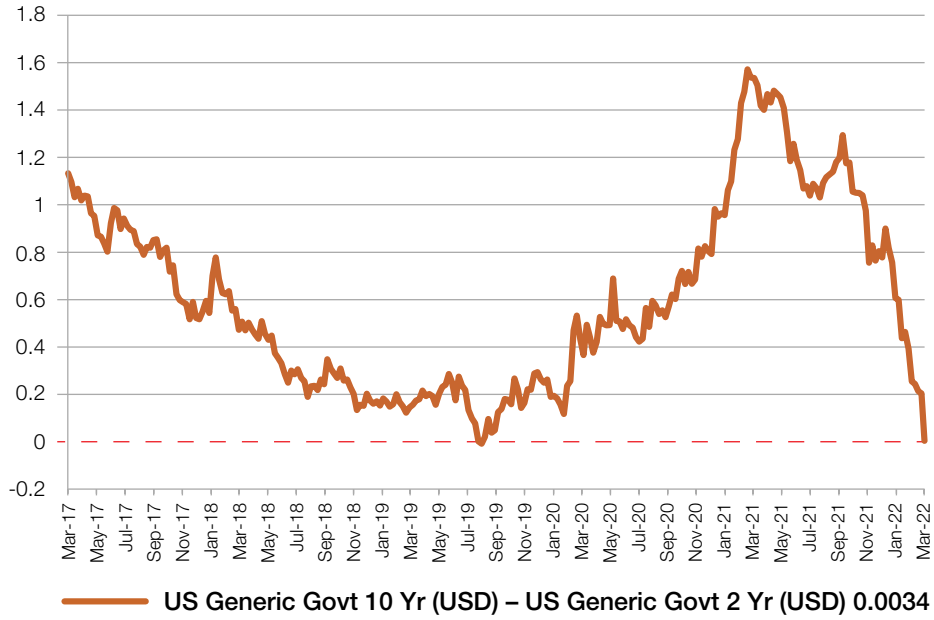
Market Insight



Index (US Generic Govt 2 Y) Daily 31 Dec 2019 - 30 Sep 2021. Source: Bloomberg Finance L.P.

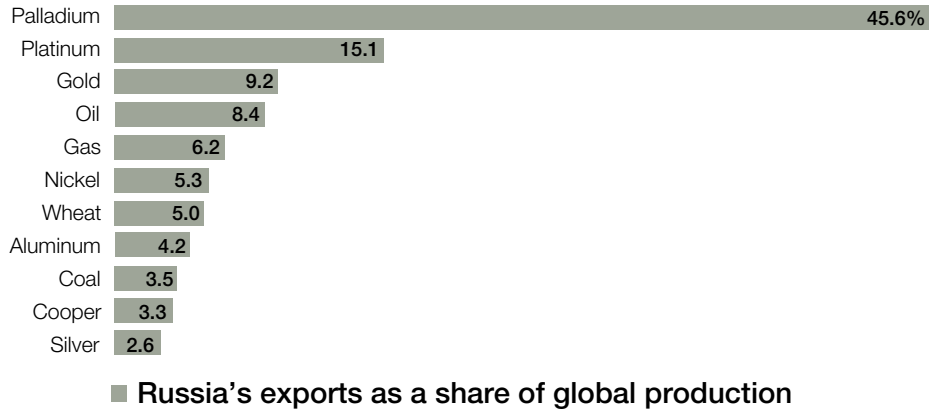
MARKET INSIGHT

Inversion Of Us Yield Curve



Over Q1'22, yields rose abruptly at the front end of the yield curve as interest rate traders reacted to a very hawkish US Federal Reserve. As financial markets anticipate higher interest rates over the next twelve months, investors are increasingly worried about the ability of the US economy to withstand the significantly higher financing costs. This has been reflected in an impressive flattening of the US yield curve. The spread between the 2YR and 10YR sovereign yield in the United States has narrowed by over 80 basis points and closed at zero at the end of the quarter.

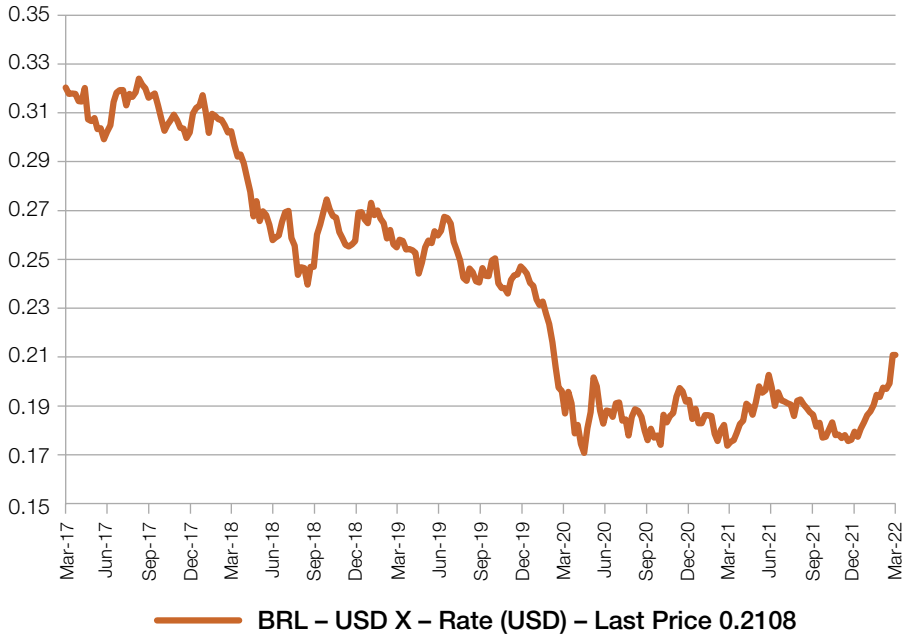
Russia Is A Commodity Heavyweight !



Source: JPMorgan

Russia's invasion of Ukraine came as a shock to the world and caused a major stir in the commodities space. When it comes to the supply of commodities, Russia is a heavyweight – its is a major player across a range of raw materials, ranging from precious metals to industrial metals and agricultural commodities. It is also the main supplier of natural gas to Europe. The price for most commodities spiked in the aftermath of the invasion of Ukraine and we should expect volatility to remain elevated in coming months as the war uncertainty prevails.

Resurgence Of The Brazilian Real



In a bid to stave off inflationary pressures, the Brazilian central bank increased its key Selic rate by 975 basis points and it currently stands at 11.75%. This is one of the highest interest rates among the world's biggest economies and has been attracting the interest of traders around the globe. The Brazilian Real underperformed significantly over the last few years as poor governance and a severe outbreak of Covid-19 led to major financial outflows. With presidential elections looming ahead and a credible central bank, the tide seems to have turned for the Brazilian Real.



Portfolio Performance

Domestic:

Our portfolios performed well in Q1. Their structure remained unchanged from the previous quarter and the main themes being played were still financial and sugar stocks. This strategy bore fruits and contributed to the overall positive performance. Tactical plays on the hospitality sector and undervalued conglomerates also turned out to be winners.

The positions and structure adopted in Q1 remain relevant in Q2. We will continue looking for profitable opportunities across every sector. A real estate stock has been added and represents the first tactical bet of the quarter.

International:

While global inflation remained high and supply chain constraints persisted in Q1'22, the Russian invasion in Ukraine put additional pressure on financial markets and further fueled fears of growing inflation.
Most equity and fixed income indices were under pressure and finished the quarter in negative territory. The MSCI All Country World Index lost 5.3% and the Bloomberg Aggregate Bond Index fell by 6.2%

Gold was one of our main convictions for Q1'22 and we progressively increased exposure when it was trading at attractive levels. It proved to be a successful tactic as it returned 5.9% in Q1'22, doing more in the end than a portfolio stabilizing role.

We also built an exposure to Berkshire Hathaway in January and further increased it during the quarter. The fund returned more than 17% and helped the performance of our portfolios.

Exposure to European equity and fixed income was rapidly liquidated following the Russian invasion in Ukraine.

Currency-wise, we maintained a focused exposure on the US dollar which held up well against other major currencies. We believe that the US dollar should remain strong in Q2'22 but we will simultaneously be looking for opportunities in the FX sphere.

Fixed income markets continued to suffer amid rate hikes in developed economies but our short duration strategy outperformed once more on a relative basis. We think that this asset class could possibly find a bottom soon and continue to closely monitor the macroeconomic situation.

While our exposure to growth funds and financial plays represented a major detractor to the performance, a portion of these securities was switched intra-quarter to emerging market plays which proved resilient.

Conservative	QTD	YTD	1 Year	3 Years (ann.)
USD	-2.67%	-2.67%	-4.12%	-0.10%
EUR	-4.47%	-4.47%	-2.34%	-
MUR	1.49%	1.49%	6.19%	6.61%

Defensive	QTD	YTD	1 Year	3 Years (ann.)
USD	-5.31%	-5.31%	-4.43%	1.19%
EUR	-3.92%	-3.92%	-1.90%	1.44%
MUR	3.18%	3.18%	10.92%	6.08%

Balanced	QTD	YTD	1 Year	3 Years (ann.)
USD	-4.82%	-4.82%	-6.38%	0.52%
EUR	-2.63%	-2.63%	-0.88%	1.03%
MUR	3.00%	3.00%	15.24%	9.70%

Trade Ideas



Trade Ideas

Rotating out of growth stocks into value stocks

Companies with high growth perspectives performed strongly over the last financial cycle as a 'goldilocks' environment of low inflation and steady growth provided the perfect vacuum for growth propositions to outperform. With inflation at levels unseen since the 1970's, this could be about to change. Indeed, central banks are about to become much more aggressive with respect to monetary policy and this should weigh on financial markets. We foresee an underperformance of growth stocks in a rising rate environment as traders rotate into companies that are more mature and have more predictable and stable earnings. Typically, value stocks often match these criteria. One should however be aware of the value trap whereby cheaply valued companies fail to recover their previous margins. We propose a US listed ETF to gain exposure to the expected rotation out of growth into value. The ETF tracks the S&P 500 Low Volatility High Dividend Index which holds large and mid-cap US stocks. Its investments are chosen from the 75 highest dividend yielding stocks in the S&P 500 then narrowing down to the 50 stocks with the lowest volatility and weights them by dividend yield. The ETF rose by 4.3% over Q1'22 while the S&P 500 retreated by 5.0%. [See Product Factsheet, Page 35]

Gold as an effective hedge against geopolitical uncertainty

Gold has been one of the best performing assets over Q1'22. As Russian troops marched into Ukraine, the price of gold rallied hard as investors sought to protect themselves from the uncertainty. The price for the yellow commodity rose as high as USD 2,070 per ounce (a test of its previous all-time high) before settling at USD 1,937 at quarter end. Historically, gold has an inverse relationship with nominal yields, that is when yields go up, gold tends to underperform. Interestingly, gold has been resilient amid the recent surge in yields. This could be explained by the level of uncertainty; even as real yields go higher, investors prefer to stay in gold because there is much uncertainty about the future path of inflation. If inflation were to rise further, then central banks will likely remain behind the curve in spite of their recent hawkish stance. We propose a London based ETF to gain exposure to the price of physical gold. [See Product Factsheet, Page 36]

Mauritian equities to deliver further upside in Q2'22

The SEMTRI Index clocked its fourth consecutive quarterly gain in Q1'22, rising by 4.8%. Over the last 12 months, the Index has risen by 41.6% and has been one of the best performing indices globally. In local currency, the index is currently trading at its all-time high. We still expect the index to produce positive returns over the coming months as the ongoing recovery of the Mauritian economy gains more traction. Social restrictions are still in place in Mauritius and their expected removal by the end of 2022 will provide a boost to the economy. Also, the resilience of the African economy will benefit the Mauritian economy as many domestic companies have business ties with the continent. The upcoming budget will also likely provide incentives for the business community. In such an environment, we expect the equities class to produce positive returns. We propose the AXIOM Equity Fund as a judicious investment. AXIOM Equity Fund invests in the SEM constituents only. The Fund focuses on investing in companies with strong fundamentals and future growth prospects. [See AXIOM Funds section, page 32]

AXIOM Funds



AXIOM Funds

AXIOM Africa Equity Fund – African Resilience

Since the beginning of 2022, African markets have demonstrated their strong resilience in a highly volatile context. Most of international indices have been under pressure given the geopolitical and macroeconomic context with the S&P 500® Index declining by 4.60% and the Eurostoxx 50 dropping by 11.30% in USD terms. Despite these international challenges, the performance of AXIOM Africa Equity Fund has been under control, outperforming most developed and emerging markets indices. We reiterate our optimistic view on AXIOM Africa Equity Fund for the rest of the year given strong fundamental support and relatively brighter prospects.

AXIOM Sustainability Premia – A Sustainable Portfolio Diversifier

AXIOM Sustainability Premia was designed to exploit market inefficiencies, providing investors with an uncorrelated vehicle to navigate the stock market throughout different market cycles. During the last quarter, AXIOM Sustainability Premia, which is solely invested in Europe, was negatively impacted by the ongoing Russia-Ukraine conflict, but nonetheless the past month performance showed promising signs for the future.

AXIOM Yield Fund – Higher Return Potential on Your Savings

AXIOM Yield Fund aims to deliver returns above the savings rate plus a premium, through capital appreciation and regular income distribution. Despite the rising yield environment, AXIOM Yield fund outperformed its benchmark over the quarter, bringing its cumulative return since inception to 33.13%. AXIOM Yield Fund recently distributed a dividend of 20c/share which is equivalent to a dividend yield of 3.46% over the past 12 months.

Dynamic Global Equity – Quality Global Exposure in Multiple-Currencies

Dynamic Global Equity invests in a selection of high-quality global stocks. As mentioned in our Q4'21 quarterly, inflation and rate hikes will be the main drivers of markets in 2022.The Federal Reserve hiked its benchmark interest rate by 0.25% to fight spiraling inflation which stood at 7.9% in the US in February. The Fed indicated six more rate hikes in the year ahead and expects to start reducing its holdings of Treasury securities in May. As such, growth stocks have been hit hard by rising interest rates and were sold into bear market territory. The risk of a recession remains on the table if the Fed is overly aggressive in tackling inflation. In this bear case scenario, stocks from quality companies are hardest to find and tend to outperform as they usually have more stable earnings and a low leverage profile. We believe that Dynamic Global Equity is well positioned in this market phase and is expected to make the most of the uncertain environment for the quarter ahead.

AXIOM Equity Fund – Opportunity to Participate in Mauritian Recovery

AXIOM Equity Fund aims to offer investors exposure to the best-in-class Mauritian stocks with strong fundamentals that are expected to outperform through different market cycles. We have seen the Mauritian economy gradually recover due to borders reopening and easing of restrictions around the world which led to the improvement of the local tourism sector. Mauritian companies are getting back into profits and dividends as they review their business strategy to better adapt and sustain the future. The MPC raised its policy rate by 0.15% to 2.0% in an effort to contain surging inflation. Nonetheless, Mauritian equities are well positioned to outperform over the foreseeable future.

AXIOM Africa Equity Fund (I USD)

31 March 2022

Investment Focus

The objective of the Fund is to achieve long term capital growth by investing in listed African equities which will benefit from various socio economic structural changes unfolding in Africa. These include the demographic wave driven by a growing African middle class and the digital revolution unfolding throughout the continent.

The capital allocation of the Fund follows a robust 'Quantamental' approach combining crucial top down risk management, quantitative stock filtering process and solid bottom up analysis. This disciplined framework guides the decision making process throughout the investment cycle, starting from mega trend identification till execution.

Price Data

I Class - USD	12.6504
I Class - EUR	11.4305
I Class - MUR	569.2740
R Class - USD	10.9919
R Class - EUR	9.3097
R Class - MUR	548.5789

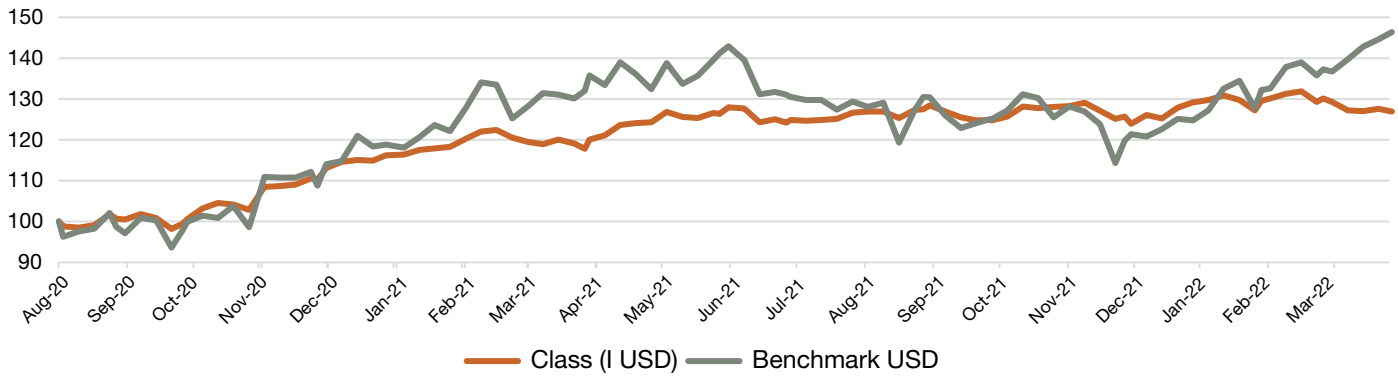
Fund Facts

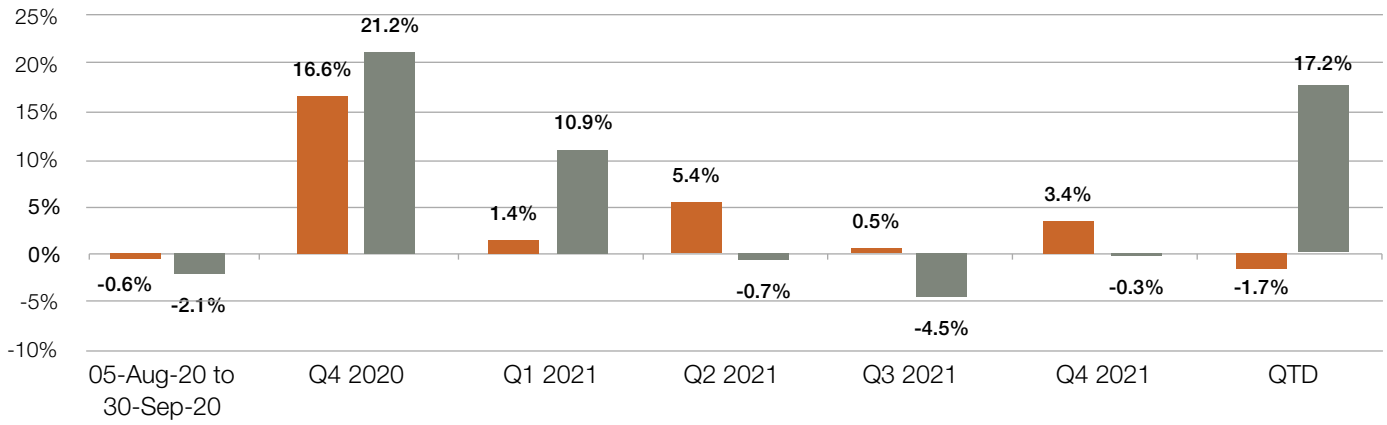
ISIN	MU0676S00009
Bloomberg Ticker	AXAFCIU
Investment Manager	AXYS Investment Partners
Inception Date	05 August 2020
Benchmark	MSCI EFM Africa Index
Management Fee - R	2.0%
Management Fee - I	1.5%
Entry Fee	Up to a maximum of 2%
Exit Fee	Up to a maximum of 2%
Minimum Investment	R: USD1,000 or equiv. I: USD100,000 or equiv.
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

Key Figures - as of end of month

Asset Under Management (USD)	3,084,964
Number of Holdings (ex. Cash)	40
Market Cap (M USD weighted)	3,623
Price/Book (trail. weighted)	2.9x
Price/Earnings (trail. weighted)	10.7x
Dividend Yield (trail. %)	4.85%
Active Share	>90%
Beta	0.3
Volatility	9.0%
Tracking Error	4.1%
Risk Adjusted Return	1.7
Information Ratio	-2.5
Largest Upside (weekly)	5.45
Largest Drawdown (weekly)	-2.63%
No of upside returns (weekly)	51
No of downside returns (weekly)	34

Fund Performance





Performance as a 31 March 2022

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I EUR	-2.48%	-1.74%	-1.74%	7.62%	26.50%
Benchmark	6.57%	17.16%	17.16%	10.79%	45.72%

Market Review

Northern Africa

Morocco - Over the month the MASI Free Float Index TR (USD) declined by 3.23% driven by IT, Utilities and Health Care. GDP grew by 6.6% YoY in 21'Q4. Trade Deficit climbed significantly in February up 57% YoY due to a significant raise in import prices. Bank Al-Maghrib kept its main interest rate on hold at 1.5% despite inflation pressure. The CPI is projected to surge to 4.7% in 2022 from 1.4% last year. February CPI rose by 3.6% YoY. Spain announced backing the Western Sahara autonomy plan proposed by Morocco. **Egypt** – Over the month the EGX 30 Index TR (USD) fell by 13.31% driven by Cons. Discretionary, Industrials and Financials. CBE raises its benchmark rates by 100bps as inflation surge while leading indicators such as PMI weaken during the month, with March PMI recording 45.6 down from 48.1 a month ago. February CPI rose significantly: 8.8% YoY or 1.6% MoM. **Tunisia** – Over the month the TUNINDEX Index TR (USD) retreated by 1.36% driven by Cons. Staples, Energy and Real Estate. CPI accelerated in March and came at 7.2% YoY. Industrial investments drop by 36.9% YoY to US$103M for the first two months of the year. Remittance from Tunisians abroad rose by 18.6% YoY and came at US$583M in 22'Q1. IMF talks keep going with some further progress being done during the month. The central bank of Tunisia kept its benchmark rates unchanged at 625bps while CPI edged up to 6.7% in January.

Western Africa

Nigeria - Over the month the Nigerian Stock Exchange All Share Index TR (USD) returned +0.27% mainly driven by Comm. Services and Energy. Nigeria's inflation rate rose in February to 15.7% YoY, compared to 15.6% a month earlier. The government lifted restrictions regarding gatherings and curfews, which were implemented in 2020. Fitch has projected Nigeria's foreign reserves to grow by USD 3 Bn and maintained its rating at 'B – Stable Outlook'. **BRVM** – Over the month the BRVM Composite Index TR (USD) dropped by 1.22% driven by Telecom, Consumer Discretionary and Industrials sectors. On the macro front, February CPI came at 4.6% YoY or 0.3% MoM in Ivory Coast. **Ghana** – Over the month, the GGSECI Index TR (USD) returned -8.05% dragged mainly by the currency depreciation and by Energy and Comm. Services sectors. BOG announced its biggest ever rate hike and raised main rate by 250bps to 17% in response to increasing inflation and depreciating currency. Annual inflation stood at 15.7% YoY in February as compared to 13.9% YoY in January. Ghana reopens lands and sea borders and lifts Covid-19 restrictions to boost economy.

Market Review Continued

Eastern Africa

Kenya - Over the month, the NSE All-Share TR (USD) returned -2.63% dragged by Comm. Services and Cons. Staples. Overall inflation was at 5.1% in February, from 5.4% in January YoY, driven by lower fuel and food prices. Fuel inflation declined from 8.2% to 6.5% in February as the government took measures to stabilise fuel prices. The MPC maintained the Central Bank Rate (CBR) to 7%. **Mauritius** – Over the month, the SEMDEX TR (USD) returned -1.59% mainly dragged by the currency depreciation and Financials sector. GDP increased by 6.2% in Q4'21 compared to a 11.9% contraction in Q4'20 driven by higher tourism activity and resumption of accommodation and good service activities, as well as wholesale and retail trade due to end of year festivities. Annual inflation stands at 9.0% YoY in February as compared to 7.4% YoY in January.

Tanzania - Over the month the DARSDSEI Index TR (USD) returned -0.70% dragged by Cons. Staples. Annual inflation decreased to 3.7% YoY in February from 4.0% YoY in January. Exports of goods and services increased to USD9,982.2Mn in the year ending January 2022, compared to USD8,382Mn in the same period in 2021. Travel receipts rose to USD1,433Mn from USD682Mn in the year ending January 2022 consistent with an increase in the number of international tourist arrivals by 66.2% during the same period which reflects a recovery in the tourism industry.

Southern Africa

South Africa - Over the month the FTSE / JSE All-Share TR (USD) was up 5.51%, driven by Energy and Financials. The MPC raised the repo rate by a further 25 basis points in March and the SARB revised its GDP growth forecast from 1.7% to 2.2%. In February, headline consumer inflation was up 5.7% YoY. Producer inflation also up 10.5% YoY in February, driven by the 'coke, petroleum, chemicals, rubber and plastic products' category. Vehicle sales was up 16.5% in March driven by domestic car sales. Vehicle exports was however down 12.4% YoY, hit by the Russia-Ukraine war.

Portfolio Positioning

Northern Africa

Morocco - Stock selection has been mixed-bag due to a challenging backdrop: BCP -4.19%, Maroc Telecom - 3.26%, HPS -2.12% contributed negatively by: 7bps, 6bps and 4bps respectively while Disway +9.27% contributed positively by 19bps. **Egypt** – Stock selection has been detrimental due to the adverse FX movement during the month with: Talaat Moustafa -22.43%, Commercial Intl Bank Egypt -16.99%, Telecom Egypt -15.00%, Misr Fertilizers -15.75% and Obour Land -1.19% contributing respectively by -54bps, -34bps, - 37bps, -10bps and -1bp. **Tunisia** – Stock selection has been negative: Delice Holding -3.00% and BIAT -0.36% contributed negatively by 4bps and 1bp to the overall performance.

Western Africa

Nigeria - Returns on the Nigerian portfolio has been a mixed bag for the month. Zenith Bank -5.78%, Airtel Africa -3.68% and Seplat -3.44% contributed negatively by 6bps, 12bps and 10bps while MTN Nigeria returned +6.81% and contributed positively by 22bps. **BRVM and Gabon** – Stock selection has been mixed-bag overall with Endeavour Mining -5.85%, Sonatel -5.26%, Societe Generale -1.06% contributing respectively by -8bps, - 15bps and -1bp while VAALCO Energy +15.17% and Societe Ivoirienne de Banque +0.93% contributed positively respectively by 29bps and 2bps to the overall portfolio performance. **Ghana** – Over the month, stock selection has been negative during the month. MTN Ghana and CAL Bank returned -9.31% and -9.11% contributing respectively by -16bps and -20bps to the overall performance. The USD performance was affected by the depreciation of the Cedi in March.

Eastern Africa

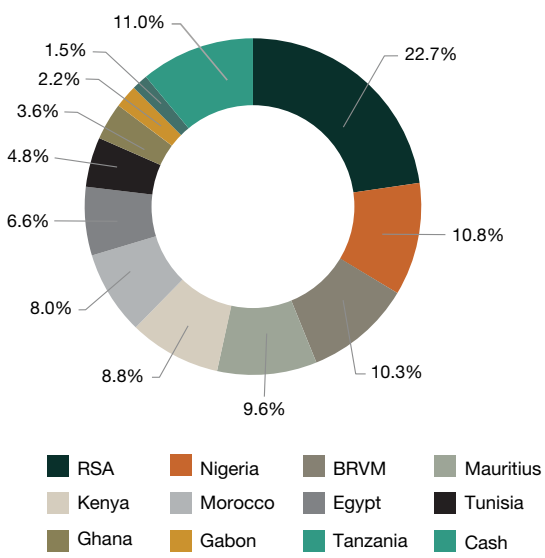
Kenya - Returns on the Kenyan portfolio was mostly negative over the month, with the exception of Diamond Trust Bank which was up 2.84% contributing 5bps. Safaricom (-4.30%), Equity Bank (-2.02%), I&M Holdings (-1.09%) and Kenya Reinsurance (-0.68%) we down, contributing -14bps, -3bps, -2bps and -1bps respectively. **Mauritius** – was a mixed bag. Newly added ENL was up 8.43%, contributing 1bps, while SBM (+6.33%) and Alteo (+0.14%) contributed 19bps and 7bps respectively. MCB (-1.01%) and NIT (-7.66%) were both down, contributing -2bps and -5bps respectively. **Tanzania** – Our sole Tanzanian exposure, Helios Towers was down 22.23% over the month, contributing -46bps.

Southern Africa

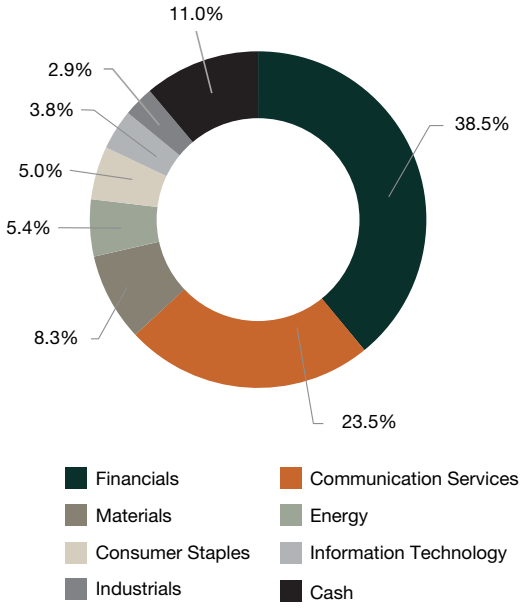
South Africa - Over the month, returns on the South African portfolio were mostly positive. SA financials performed strongly - FirstRand (+26.18%), Transaction Capital (+17.83%) and Nedbank (+12.50%), contributed 57bps, 20bps and 43bps respectively. Textainer was also up 8.92% over the month contributing 24bps. On the other hand, Impala Platinum (-17.38%) and Sibanye-Stillwater (-9.05%) were both detractors, contributing - 67bps and -24bps respectively.



Geographical Split



Sector Split



Top 5 Positions

MTN Group Ltd	4.0%
FirstRand	4.0%
Nedbank	3.9%
Impala Platinum	3.5%
SGBC	3.5%

Top 3 Contributors (bps)

FirstRand	57
Nedbank	43
Vaalco Energy	29

Top 3 Detractors (bps)

Impala Platinum	-67
Talaat Moustafa Group	-54
Helios Towers	-46

Market Cap Breakdown (USD)

Above I B	54.2%
500M - I B	5.7%
100M - 500M	28.4%
Below 100M	11.8%

AXIOM Sustainability Premia (Class I - EUR)

31 March 2022

Investment Focus

AXIOM Sustainability Premia aims to participate in rising markets, benefitting from long term appreciation of ESG related equities and outperform in falling markets by providing downside protection against highly volatile markets.

By investing in a long-short strategy, the Fund seeks to be market neutral with low correlation to traditional asset classes. The layer of protection also allows the strategy to limit volatility.

The European market, which is considered the most mature sustainable universe, is the ideal vehicle to implement our strategy.

Price Data

I Class - EUR	9.50
I Class - USD	8.86
I Class - MUR	9.85
R Class - USD	8.96
R Class - MUR	9.67

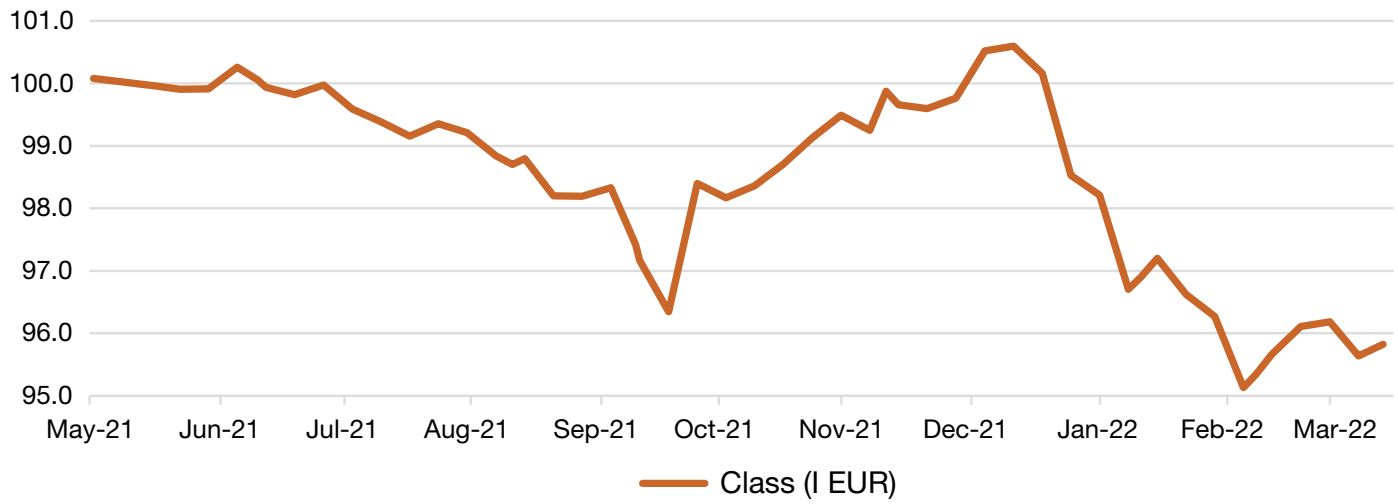
Fund Facts

ISIN	-
Bloomberg Ticker	-
Investment Manager	AXYS Investment Partners
Inception Date	21 May 2021
Benchmark	EONIA Index
Management Fee - R	1.0%
Management Fee - I	0.5%
Entry Fee	Up to a maximum of 2%
Exit Fee	Up to a maximum of 2%
Performance Fee - R	20% of Positive Perf above its HWM
Performance Fee - I	15% of Positive Perf above its HWM
Minimum Investment	R: EUR1,000 or equiv. I: EUR100,000 or equiv.
Liquidity	Weekly
Sub/Red Cut-off	Friday 11:00am MRU Time

Key Figures - as of end of month

Asset Under Management (EUR)	455,816
Number of Holdings (ex. Cash)	20
Beta	-
Volatility	-
Sharpe Ratio	-
Sortino Ratio	-
Largest Upside (weekly)	2.75%
Largest Drawdown (weekly)	-3.47%
No of upside returns (weekly)	17
No of downside returns (weekly)	29

Fund Performance



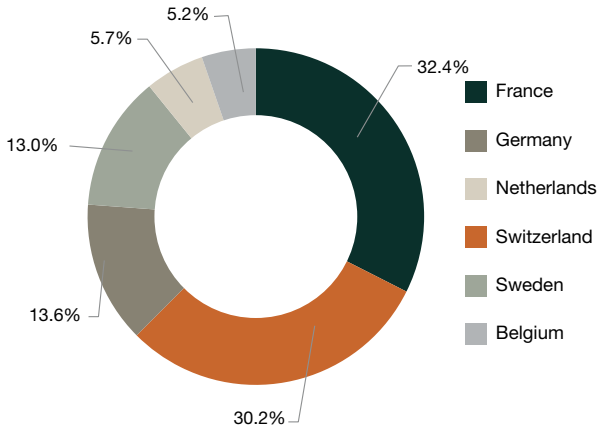
Performance as a 31 March 2022

	1 Month	3 Months	YTD	1 Year	Since Inception
Class I EUR	0.60%	-5.54%	-5.54%	-	-4.95%

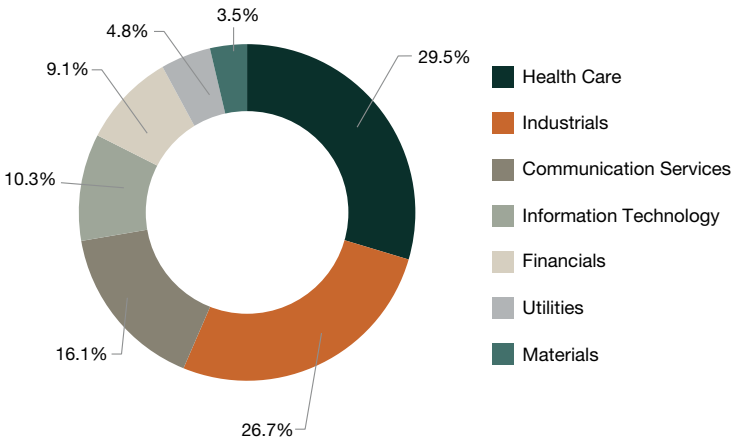
Market Review

Over the month, the European ESG Stocks as measured by the EURO STOXX 50 ESG Index TR (EUR) was up by 0.25% outperforming the EURO STOXX 50 Index TR (EUR) by 67bps. Top performing countries in the ESG space were Britain and France while top performing sectors were Health Care and Financials sectors. Market sentiment on European ESG stocks has been weak across the board, our indicator based on investor flows reveals a net outflows of approx. EUR-1542M last month on the asset class. At the end of last month and since the last expiry, 50% of AXIOM Sustainability Premia investment has been profitable. At the country level, top contributors were Switzerland and Germany while main detractors were France and Netherlands. At the sector level, Health Care and Information Technology contributed positively to the overall performance while Financials and Industrials contributed negatively. Top performing underlying stocks such as Sonova Holding AG a leading european provider of hearing care solutions helped the fund performance while Randstad NV a temporary employment services company declined during the month and was one of the main detractors.

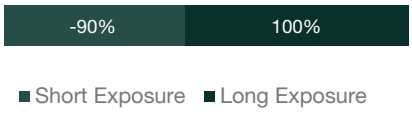
Geographical Split



Sector Split



Exposure



Top 5 Long Positions



AXIOM Yield Fund

31 March 2022

Fund Objective

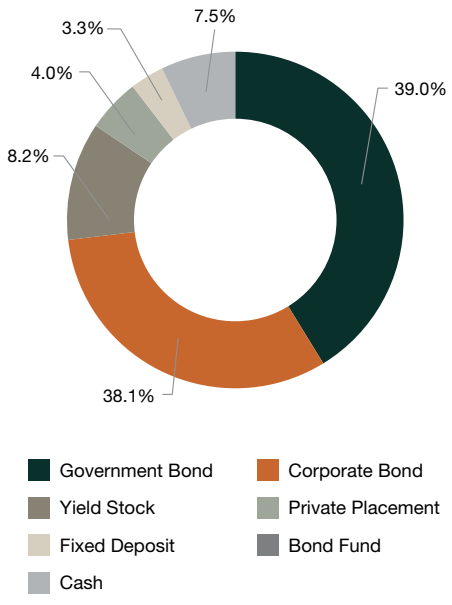
AXIOM Yield Fund was set up with the objective of providing investors with regular income and aims to outperform the average savings rate plus a premium by maximizing risk adjusted returns.

Fund Manager Comments

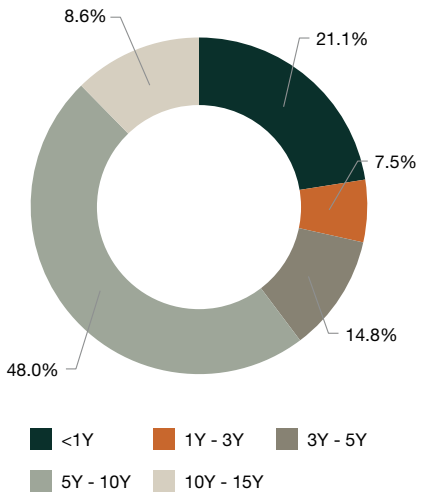
The Fund was up 0.82% during the month while the benchmark returned 0.20%. Across the board, in March, the weighted average yield on Treasury bills and Government of Mauritius Bonds went up. The 3-months, 6-months and 1-year Treasury Bills had a weighted average yield standing at 0.75%, 0.82% and 0.90% respectively up by 15bps, 14bps and 12bps compared to the auction held in February. The last 3-year Government of Mauritius Bond had a weighted average yield standing at 2.26%, up by 10bps compared to the auction held in February. The last 5-year Government of Mauritius Bond had a weighted average yield standing at 2.93%, up by 9bps compared to the auction held in February.

Total AUM	MUR 343.1M
NAV (Class R)	11.57
Currency	MUR
Inception Date	23 November 2017
Minimum Investment	MUR 50,000
Divident Frequency	Semi Annually (Oct 1st & April 1st)
Dividend Yield	3.46%
Total Expense Ratio	1.30%
Benchmark	Average Savings Rate +2.0%
Entry Fee/Exit Fee	Up to 2%
Liquidity Period	Weekly

Asset Class



Duration Breakdown

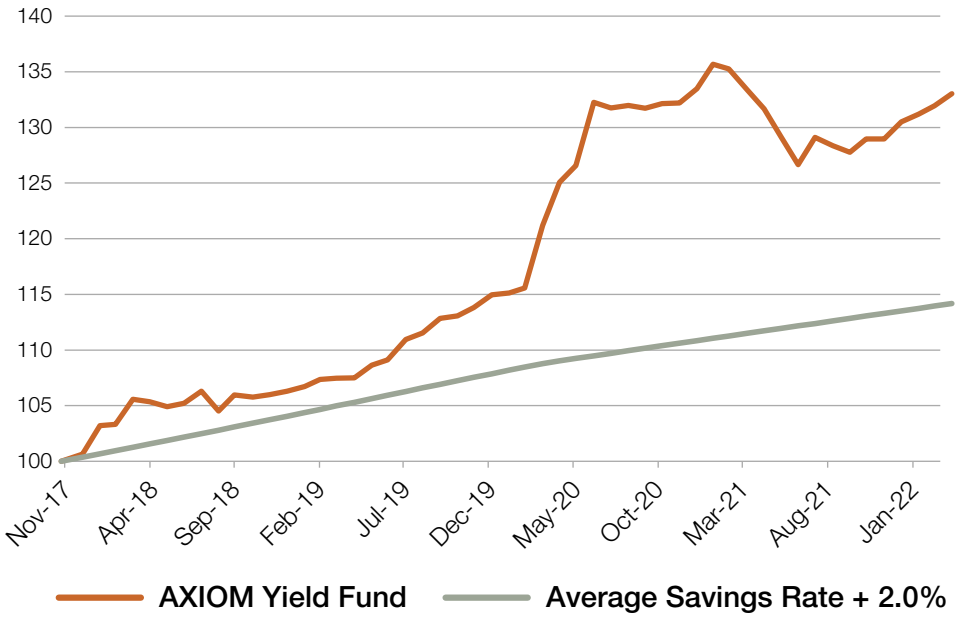


Portfolio Metrics

Average Duration	5.26
Average Maturity	6.74



Fund Performance



Performance as at 31 March 2022

	AXIOM YIELD FUND	Avg. Savings Rate +2.0%
1 Month's Return	0.82%	0.20%
3 Month's Return	1.93%	0.58%
YTD	1.93%	0.58%
12 Month's Return	-0.26%	2.41%
Return Since Inception	33.13%	14.22%
Annualised Return Since Inception	6.79%	3.10%

	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR	Avg SR +2.0%
2017	-	-	-	-	-	-	-	-	-	-	-	0.64%	0.64%	0.38%
2018	2.55%	0.11%	2.19%	-0.21%	-0.42%	0.29%	1.03%	-1.68%	1.39%	-0.18%	0.21%	0.29%	5.65%	3.67%
2019	0.39%	0.59%	0.11%	0.02%	1.09%	0.41%	1.70%	0.54%	1.16%	0.20%	0.68%	1.01%	8.16%	3.68%
2020	0.15%	0.37%	4.88%	3.22%	1.20%	4.52%	-0.38%	0.16%	-0.19%	0.30%	0.05%	0.98%	16.16%	2.76%
2021	1.64%	-0.31%	-1.40%	-1.28%	-1.98%	-1.88%	1.95%	-0.59%	-0.45%	0.93%	0.00%	1.21%	-2.24%	2.43%
2022	0.53%	0.57%	0.82%										1.93%	0.58%

Note: Performance statistics assume reinvested dividends.

Dynamic Global Equity (Class I - USD)

31 March 2022

Underlying Fund Investment Objective

Dynamic Global Equity Fund is a feeder fund which invests directly in Fundsmith Equity Fund The aim of the underlying fund is to provide long term growth by investing in equities on a global basis and adopting a specific investment philosophy It is envisaged that the underlying fund will generally be comprised of 20 to 30 stocks The underlying fund is not expected to invest in derivatives and is not expected to hedge any currency exposure.

Underlying Fund Manager Philosophy

The philosophy of the underlying fund manager is to invest in equities which are of high quality and difficult to replicate The company selects equities with a perceived high degree of certainty of growth and businesses which are resilient to change It also selects businesses whose valuation is considered to be attractive.

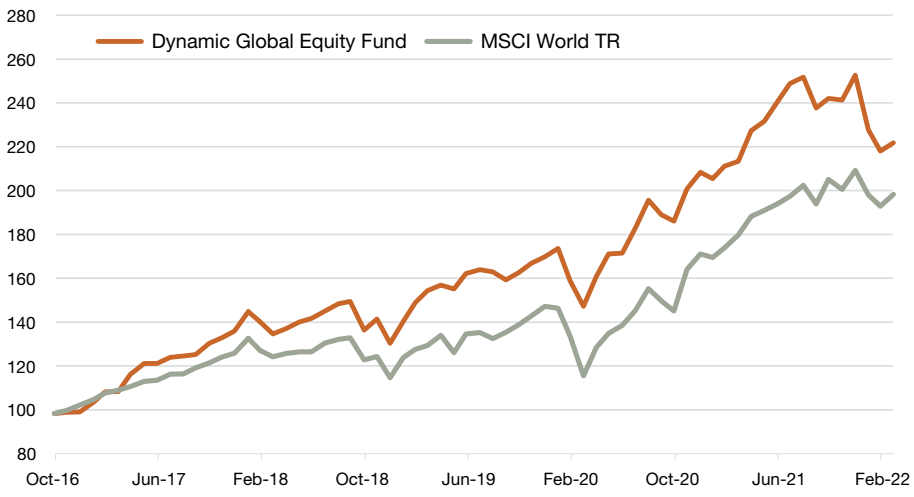
Underlying Portfolio Comments

The underlying fund exited an as yet undisclosed position during the month. The top 5 contributors in the month were Stryker, Estée Lauder, McCormick, Philip Morris and Visa. The top 5 detractors were Intuit, Amazon, Nike, Brown Forman and Microsoft.

Performance as at 31 March 2022

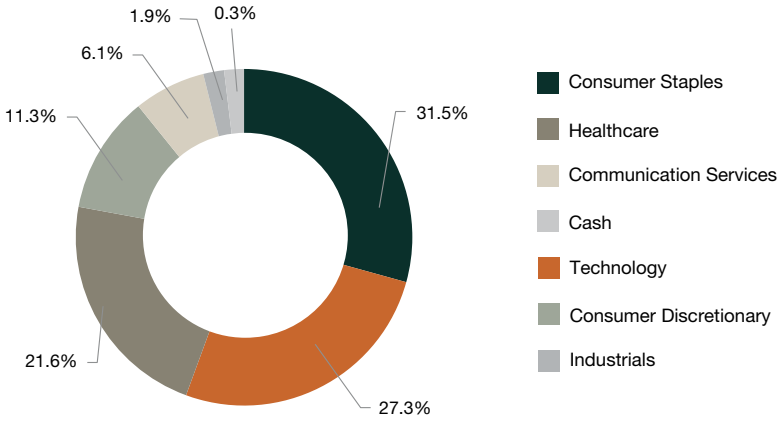
	Dynamic Global Equity	MSCI World TR
1 Month's Return	1.73%	2.74%
3 Month's Return	-12.04%	-5.15%
YTD	-12.04%	-5.15%
12 Month's Return	3.92%	10.12%
Return Since Inception	121.60%	98.42%
Annualised Return Since Inception	15.82%	13.49%

Underlying Fund Performance





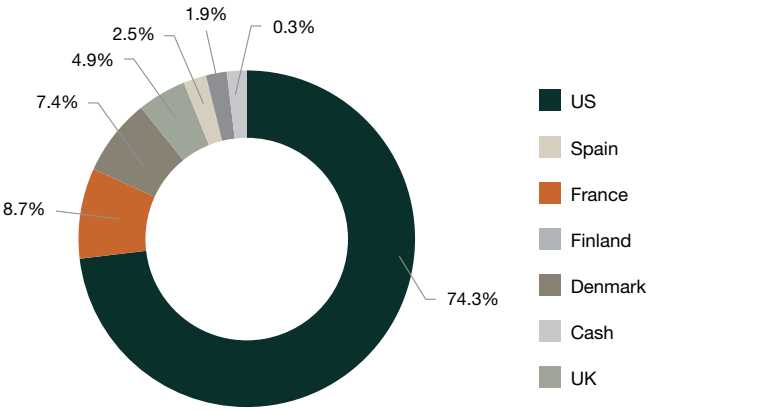
Sector Split



Key Facts

FUND Total AUM	USD 108.6mn
NAV (Class I)	48.39
Currency	USD
Inception Date (Dynamic Global Equity Fund - Class I)	November 4, 2016
Min. Investment (Lump Sum)	MUR
Total Expense Ration	1.15%
Underlying Fund Manager	Terry Smith
Underlying Fund Morningstar Rating	Gold

Geographical Split



	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YEAR	MSCI
2016											0.65%	0.07%	0.71%	3.87%
2017	4.37%	4.43%	0.15%	6.95%	4.27%	-0.10%	2.32%	0.42%	0.52%	3.98%	1.88%	2.22%	36.01%	22.40%
2018	6.43%	-3.14%	-3.83%	1.71%	2.16%	1.20%	2.28%	2.23%	0.74%	-8.59%	3.60%	-7.59%	-3.92%	-8.71%
2019	7.45%	5.96%	3.58%	1.65%	-1.16%	4.49%	1.04%	-0.56%	-2.27%	2.15%	2.49%	1.78%	29.54%	27.67%
2020	2.18%	-8.13%	-7.20%	8.99%	6.29%	0.19%	6.55%	6.82%	-3.32%	-1.52%	7.76%	3.69%	22.19%	15.90%
2021	-1.32%	2.71%	1.01%	6.49%	1.82%	3.70%	3.50%	1.15%	-5.49%	1.80%	-0.27%	4.60%	20.94%	21.82%
2022	-9.73%	-4.21%	-1.73%										-12.04%	-5.15%

Note: Dynamic Global Equity performance as from inception date of 04-November-2016

AXIOM Equity Fund (Class I - MUR)

31 March 2022

Fund Objective

The investment objective of the fund is to achieve long term growth through a blended investment strategy consisting of both growth and value stocks. All dividends are reinvested given their importance in driving long-term portfolio growth. The fund invests only in equities listed on the Stock Exchange of Mauritius.

Fund Manager Comments

The Fund was up 2.23% during the month while the SEMTRI had a positive performance of 1.80%. SEMTRI's performance was driven by Financials (SBMH +10.0%, IBL Ltd +4.3%, MCB Group +2.4%), Sugar conglomerates (Alteo Ltd +3.6%); Cons. Disc (Lux Resorts +5.9%).

Annual inflation stands at 9.0% YoY in February as compared to 7.4% YoY in January. February PPI increased 0.5% MoM and 12.5% YoY driven by increase in price of food products and beverages.

GDP increased by 6.2% in Q4'21 compared to a 11.9% contraction in Q4'20 driven by higher tourism activity and resumption of accommodation and good service activities, as well as wholesale and retail trade due to end of year festivities.

The Fund is not exposed to hotel counters to avoid uncertainty that prevails in the sector due to the pandemic and rising geopolitical tensions in Europe.

The Fund's investments have strong fundamentals with the actual portfolio expected to benefit strongly from an improvement in market conditions as business activities pick up.

Total AUM	Rs. 41.2m
NAV (Class R)	12.46
NAV (Class I)	13.15
Initial NAV	11.07
Currency	MUR
Inception Date	03 February 2017
Total Annual fund Operating Expense Ratio	1.25%
Min. Investment (Lump Sum)	MUR 10,000,000
Fund Manager	AXYS Investment Partners Ltd
Entry / Exit Fee	Up to 2%

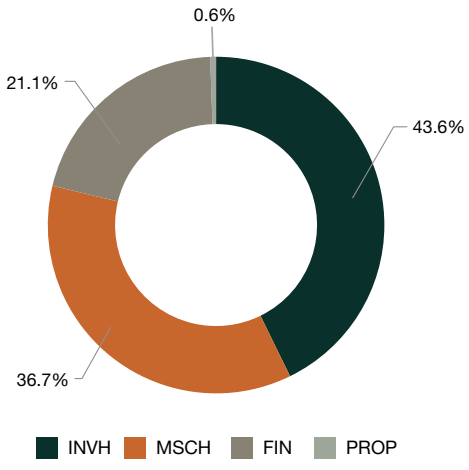
Gainers

▲	▲	▲
10.0%	10.0%	3.6%
UTIN	SBM	ALTEO

Laggers

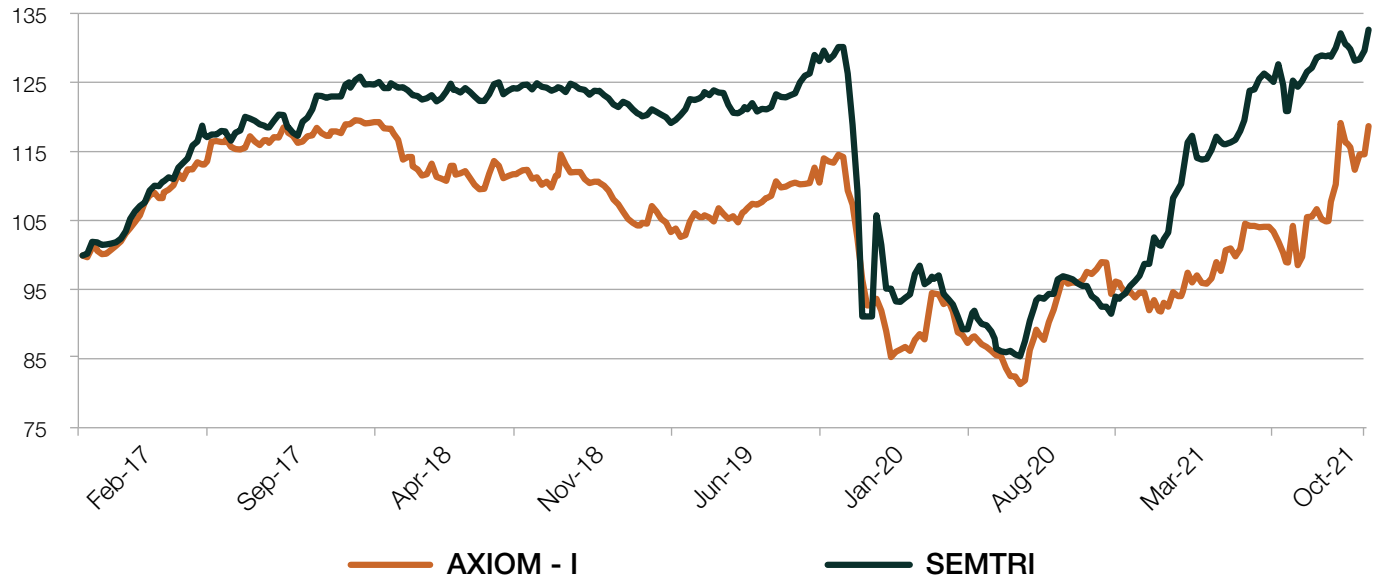
▼
-4.5%
NITL

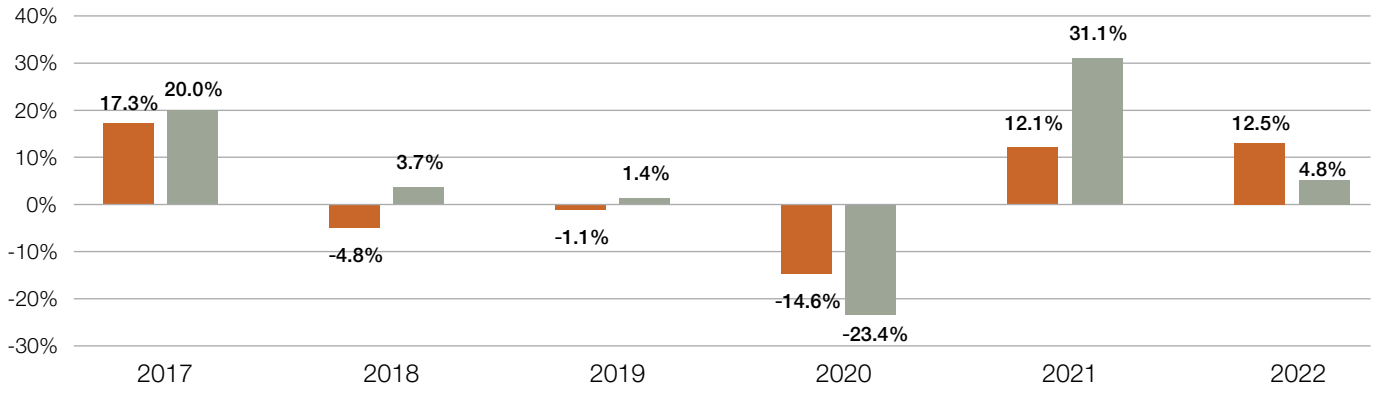
Sector Allocation





Fund Performance (Class I)





Performance (Class I) at 31 March 2022

	AXIOM-I	ALEXTRI	SEMTRI
1 Month's Return	2.23%	2.19%	1.80%
3 Month's Return	12.48%	5.20%	4.82%
YTD	12.48%	5.20%	4.82%
12 Month's Return	23.66%	41.90%	41.56%
Return Since Inception	18.77%	16.62%	32.72%
Annualised Return Since Inception	3.39%	3.54%	5.64%

Key Figures - as at the end of month

Beta	0.58	Tracking Error	3.33%
Volatility	13.18%	Sharpe Ratio	0.26
Information Ratio	-0.68		

Products Factsheets



BULLION GOLD ETF

April 2022

Product Description

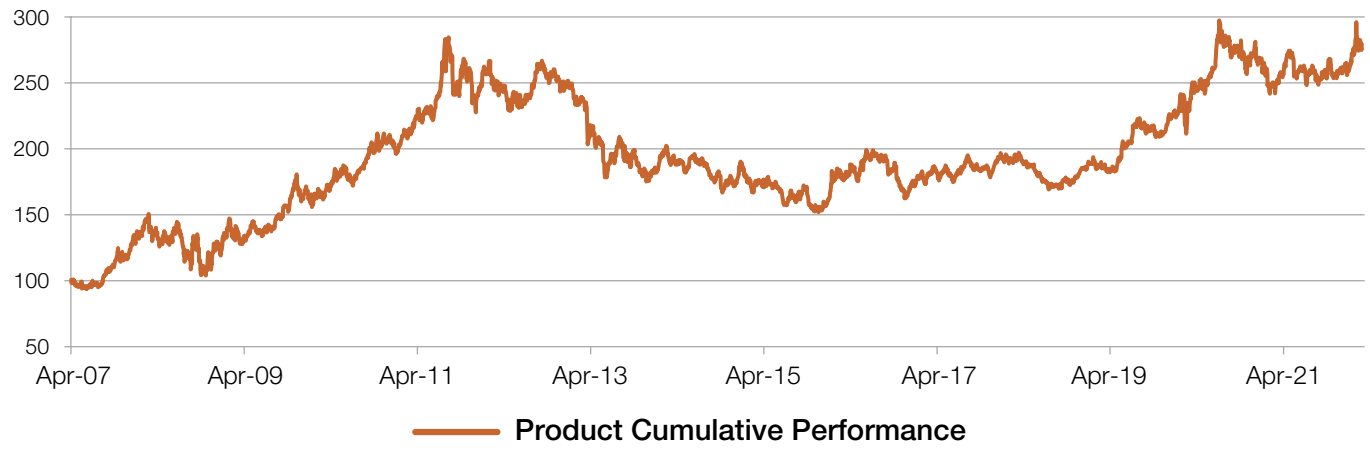
The instrument is designed to offer a cost-efficient way for participants to gain exposure to the gold market. Product performance tracks movements in the gold spot price (net of applicable fees).

Investment Rationale

After the record highs it reached in 2020, Gold has been one of the best performing assets over Q1'22. With the current state of global uncertainty in the wake of the Russia-Ukraine conflict, the price of gold recently rose as high as USD 2,070 per ounce (a test of its previous all-time high) before settling at USD 1,937 at quarter end. The price for the yellow commodity rallied hard as investors sought protection. The current uncertainty is so prevalent that even as real yields go higher, investors still prefer to opt for gold. The metal also remains an effective tool for investment diversification and an attractive hedge against inflation.

Performance

1 Month	2.2%
3 Month	6.7%
Year-to-date	6.7%
1 Year	13.6%
Return since Inception	166.2%
Annualised return since inception	6.8%



US High Dividend Low Vol Fund

March 2022

Product Description

The Fund is based on the S&P 500 Low Volatility High Dividend Index, which is composed of 50 securities traded on the S&P 500 Index that have historically provided high dividend yields and experienced low volatility. The Fund and Index are rebalanced and reconstituted twice per year in January and July. The dividends received are reinvested in the Fund and contribute to its overall performance.

Highlights

Currency	USD
Current AUM	USD 3.55 Billion
Inception Date	October 2012
Minimum Ticket Size	USD 10,000
Entry/Exit Fees	3%
Trading Frequency	Daily

Target Audience

This product is for investors who wish to diversify their investments and benefit from:

- Large Value stocks selected from US listed companies for their inherent quality, their track record of high dividend payments and their low volatility.
- Foregoing the more extreme performance of some growth stocks in exchange for more stability and less volatility.
- Thematic instrument with daily liquidity denominated in USD.

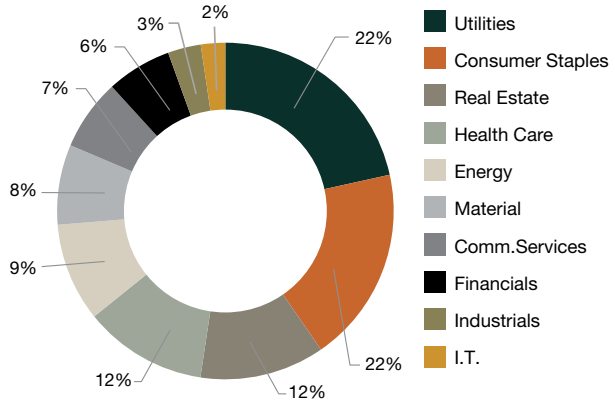
Performance Figures

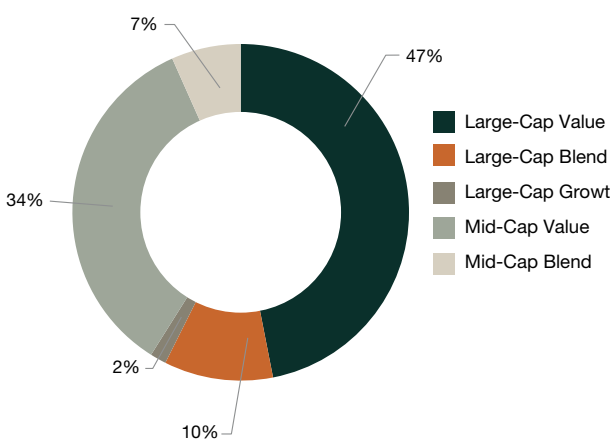
Year-to-Date	4.6%
Annualised return last 3 years	3.6%
Annualised return last 5 years	3.1%
Annualised return last since inception	6.7%
Annualised Volatity (9.5 years)	20.1%



Performance of Fund







Disclaimer

This material has been prepared by AXYS Investment Partners Ltd ("AIP"), an entity duly licensed by the Financial Services Commission of Mauritius ("FSC"), exclusively for the intended recipients. This document is for information and illustrative purposes only and does not purport to show actual results. The information contained in this presentation is based both on publicly available data as well as on such information as may have been made available to AXYS Investment Partners Ltd. This information has been obtained from sources believed reliable, but neither AIP nor the FSC represents or vouches that it is accurate, complete or financially sound, and it should not be relied upon as such. The performance represented in this presentation is historical; past performance is not a reliable indicator of future results and investors may not recover the full amount invested. All investments entail risks. There is no guarantee that investment strategies will achieve the desired results under all market conditions and each investor should evaluate its ability to invest for a long term especially during periods of a market downturn. No representation is being made that any account, product, or strategy will or is likely to achieve profits, losses, or results similar to those discussed, if any. This information is provided with the understanding that you will make your own independent decision with reference to any course of action in connection herewith and as to whether such course of action is appropriate or proper based on your own judgment, and that you are capable of understanding and assessing the merits of the said course of action. Any statement, observation and judgement articulated in this presentation represents the current assessment or opinion of AIP at the time, and must not be construed as permanent, unalterable assertion. Neither AIP nor its officers, employees or other agents acting on behalf of AIP assumes any liability for the assertions made in this presentation.

AXYS

WEALTH CREATOR

6th Floor, Dias Pier Building,Le Caudan Waterfront, Caudan, Port Louis, Mauritius
T: (230) 405 4000 - E: info@axys.mu
axys.mu